



RETIREMENT, GRATUITY AND DISABILITY BENEFITS

POLICY No. 04-2011

PURPOSE:

To establish a policy on Retirement, Disability and Gratuity benefits for the employees and officers of the cooperative.

INTRODUCTION:

The retirement, gratuity and Disability benefits are covered by the Collective Bargaining Agreement (CBA) duly signed between the Union and Management, and duly approved by the Board of Directors on May 13, 2011. To avoid disparity in the computation of retirement gratuity and disability benefits, there is now a need for a policy on the Retirement, Disability and Gratuity benefits to cover the other employees and officers of the cooperative not benefited under the CBA.

POLICY:

The cooperative shall grant to its employees and officers' retirement, gratuity and disability benefits on the following scheme:

1. OPTIONAL AND MANDATORY RETIREMENT BENEFIT

- 1.1. Employees who will retire under the Optional Retirement Plan or due for Compulsory Retirement shall be entitled to a Retirement Benefits as provided herein.
- 1.2. To be qualified for Optional Retirement, the employee shall be:
 - (i) 50 years old and at least 20 years in service; or
 - (ii) At least 55 years old.
- 1.3. The Compulsory/Mandatory Retirement age shall be 65 years old.
- 1.4. The retirement benefit shall be computed according to the following schedule with the corresponding multipliers:

NUMBER OF YEARS IN SERVICE	PERCENT MULTIPLIER-MONTH
01-05	1.25
06-10	1.50
11-15	1.75
16-20	2.00
21-25	2.25
26-30	2.50
31-35	2.75
36 & Above	3.00

- 1.6 For purposes of computation,